

# BOARD INFORMATION SECURITY COMMITTEE REPORT

Since the inception of the committee, we have prioritised the enhancement of our information security measures and ensured stringent compliance with regulatory standards. The Committee has collaborated closely with management and security teams to mitigate risks and strengthen the security measures of our layered defences. These initiatives have been integral in maintaining the integrity and security of our information systems. Our efforts are directed towards protecting the interests of our customers, shareholders and stakeholders, thereby reinforcing confidence in the company's steadfast commitment to robust information security practices.



**Ms. Ashwini Natesan**  
Chairperson - Board Information  
Security Committee

## PURPOSE OF THE COMMITTEE

The Board Information Security Committee was established by the Board of Directors to provide strategic oversight and governance of the company's information security program. The committee's primary objectives include ensuring the protection of information assets, maintaining compliance with regulatory standards, overseeing the implementation of robust cybersecurity measures, and managing risks associated with information security. Through continuous evaluation and improvement of security policies, controls, and practices, the committee aims to safeguard the integrity, confidentiality, and availability of the company's information systems

## COMPOSITION OF THE COMMITTEE

The Committee compose of two Independent Non-Executive Directors and one Executive Director. The Board is confident that the current members of the Committee poses the

necessary competence in information technology, information security and risk management related matters and have recent and relevant experience. The profiles of the Information Security Committee members are given on pages 156 to 160.

| BOARD MEMBER          | BOARD STATUS                              |
|-----------------------|-------------------------------------------|
| Ms. Ashwini Natesan   | Independent Non-Executive Director        |
| Mr. Ashane Jayasekara | Senior Independent Non-Executive Director |
| Mr. B. D. A. Perera   | Executive Director – Asset Management     |

## COMMITTEE MEETINGS

The inaugural meeting of the Board Information Security Committee was held on August 28, 2023, coinciding with the second quarter of the financial year. The Committee convened two (2) meetings during the year under review. Details regarding the attendance of Committee Members are stated in the table on page 174.

The Deputy Managing Director and senior management of LBF, including the Chief Information Officer, Chief Internal Auditor, Chief Financial Officer, Chief Risk

Officer and Compliance Officer attended the meetings by invitation. Members of the management, including information technology and security teams, were invited to participate in the meetings as and when required. The Company Secretary acted as the secretary to the Committee.

## COMMITTEE CHARTER AND RESPONSIBILITIES

The Board Information Security Committee was formed by the Board of Directors as voluntary adoption to

strengthen the Information Technology and Information Security risk governance by the provisions of the Finance Business Act (Technology Risk Management and Resilience) Direction No.01 of 2022. Board of Directors formally approved the committee charter on January 30, 2024.

The key responsibilities of the Committee include the following;

- Review and recommend the Information Security Policy, procedures to the Board and assess the effectiveness of its implementation.
- Regularly review significant threat changes and vulnerabilities to ensure timely mitigation strategies are in place.
- Provide oversight to the Company's Information Security Management Program, ensuring it aligns with the organisation's objectives and regulatory requirements.
- Examine the status of security incidents and evaluate the outcomes of various information security assessments and monitoring activities across the Company.
- Review the effectiveness and reach of security awareness programs implemented within the Company to ensure a culture of security consciousness.
- Assess new developments or issues related to information security, ensuring the Company adapts to evolving threats and technological advancements.
- Review the technology/ information security risk register, risk management framework, including risk acceptance criteria and the acceptable levels of risk to ensure comprehensive risk

- management.
- Evaluate the risks associated with Key technology infrastructure enhancements/ cloud implementations prior to the adoption of solutions to ensure they meet the Company's security and risk management standards.

### COMMITTEE ACTIVITIES DURING THE FINANCIAL YEAR

The following key initiatives and actions were undertaken during the two-committee meetings convened during the year:

- Evaluated and recommended necessary control mitigations for new key technology infrastructure enhancements and cloud adaptations to safeguard company information assets. This includes MSSP managed firewall, cloud Wi-Fi implementation, digital FD withdrawal, cashier module, CIM payday loan, and more.
- Reviewed the IT/cyber risk register, assessed the effectiveness of management actions in mitigating and reducing risk exposure, and provided requisite recommendations for issue remediation.
- Established the Terms of Reference for the Board Information Security Committee to guide its operations and objectives.
- Provided strategic advisory support for establishing a Personal Data Protection Policy for LBF.
- Offered advisory support for implementation to meet the compliance requirements of the Personal Data Protection Act.
- Conducted follow-ups and accelerated the remediation efforts by management to address high-risk information security audit observations.

- Reviewed the implementation progress and level of compliance with the Regulatory Direction No 1 of 2022 on Technology Risks Management and Resilience.
- Reviewed the effectiveness of security assessments and monitoring controls established by L1, L2 and L3 layered defences.



**Ms. Ashwini Natesan**  
Chairperson  
Board Information Security Committee

27 May 2024